

How it works

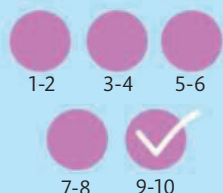
There are two stages to the process of customer retention: measuring the current rate of retention, and applying strategies to manage and improve it.

Practices include identifying the most valuable customers and nurturing relationships with them. The least valuable or most costly customers may be dropped if they show little development potential.



Upsell and cross-sell leads

Identify customers who may buy larger products, or related items.



Net promoter score®

Use management tool to gauge how likely a customer is to recommend company to others.



Customer retention savings

Calculate savings made in marketing spend by retaining existing customers.

TOP FIVE REASONS FOR LOSING A CUSTOMER

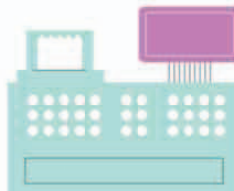
Senses indifference from provider



Dissatisfied with product or service



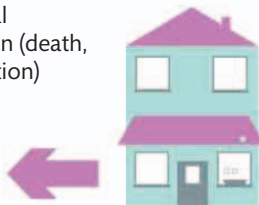
Unhappy with price



Lured by competition



Natural attrition (death, relocation)



NEED TO KNOW

- › **Customer lifetime value (CLV)**
Measure of the amount customer will contribute to company revenue in the long term
- › **Customer retention rate (CRR)**
The number of customers retained over a given period, expressed as a percentage
- › **Customer acquisition cost (CAC)**
The amount company spends to gain a customer; also called cost of customer acquisition (COCA)

5%
reduction
in customer
defection
rate can
increase
profits by
25-125%

